

(we had moved back from Mumbai after a year) after getting paid for some editing work I did in 2001. But in all those tough money years, I still remember making at least some of that PPF contribution with dogged focus.

I found that if you look hard enough, you will find the money for things that are important to you. You need to decide what is important. So if you began reading this chapter thinking – where is the money to invest – all I can tell you is that look harder, you'll find it. We all go through tough times.

Money is never in plenty in the early years. But getting into debt to fund current spending is not the way out. Either find a way to raise income or spend less. There is no third option. I did both. I requalified myself so that I could earn more and till then, I harshly cut spending. And I still managed to support the extended family financially despite the tight money squeeze. My only regret? I left investing in mutual funds for much later. I should have started earlier.

Why we resist investing for the long-term

Not having money to invest is one of the four big reasons we put off the investing decision. At number two is the desire to keep money in a liquid form for a future emergency. Third is the fear of making a mistake and fourth is the lack of knowledge. I shared my story here not to show off (well, maybe just a bit), but just to say that I've done what I'm asking you to do. It is possible. It is doable. And I have experimented with myself with all that I tell you. So what you get is fully cooked and not out of a textbook. Let's examine the four fears of investing.

Show me the money

'Arrey, I'm not rich enough to start investing.' Not beginning the process of investing because you don't have a large corpus in the first place is like waiting to get fit before you join a diet and fitness routine. I will lay a part of the blame on the kind of media messaging that was prevalent till about fifteen years ago.